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Morning Note
Monday, November 2, 2026
Published: 2:25 PM ET
Tone: Mixed / Relief

Oil is coming apart on diplomacy, and the tape is rotating rather than rallying. Brent is trading near $104.77/bbl and WTI near $96.27, both down more than 7% on the day, after Reuters reported Iranian negotiators left Qatar-mediated talks with a draft proposal in circulation and Secretary of State Marco Rubio said President Trump wants to resolve the conflict diplomatically. The relief is showing up in the Dow, +0.84% to 52,203 as of about 2:00 PM ET, and in cyclicals: Consumer Discretionary (XLY) +2.63%, Materials +1.93%, Financials +1.87%. It is not showing up in tech. XLK is -1.79% and the Nasdaq 100 -0.43% as Friday's AI capex selloff (S&P 500 -1.82%, Philadelphia Semiconductor Index -7.20%) extends through Oracle (-6.4% on a $10 billion stock and $10 billion bond raise) and Marvell (-9.5% on its Lumentum deal). The S&P 500 is barely positive at 7,586.61, +0.09%. Data ran hot on activity: ISM manufacturing rose to 55.5 against a 54.5 consensus, with prices easing. With the Fed at 3.75 to 4.00% and a December hike still the base case, lower oil is the cleanest path to taking that hike off the table, which is why gold is +1.67% and the 10Y has slipped to about 4.93%. Into Apple after the close, Tuesday's midterms and Friday's payrolls, the question is whether this is de-escalation or another pause in a conflict that has whipsawed crude all year.

OVERNIGHT MACRO

- **Asia:** Kospi +2.24% to 5,859.08 on a chip rebound (Samsung +1.78%); Nikkei -0.33% to 63,081.86 as Kioxia fell 15.78% on a fourth quarter profit outlook below expectations, offset by Tokyo Electron +5.16%. Hang Seng about +0.5% per Saxo.
- **Europe:** Euro Stoxx 50 +0.73% to 6,176.06 as lower energy prices lifted bourses; Stoxx 600 about +0.4% near 649 at midday per MarketScreener. Friday's session had Stoxx 600 -0.4% and DAX -0.9%.
- **FX:** DXY -0.14% to 101.74, EUR/USD +0.17% to 1.1202, GBP/USD +0.25% to 1.3412, USD/JPY flat at 157.87. Bitcoin -1.88% to about $76,776.
- **Commodities:** Brent near $104.77 and WTI $96.27 (-7.54%), with WTI breaking below $100 on the Doha headlines. Gold +1.67% to $3,964/oz, silver +3.25% to $50.70, copper +1.48% to $6.554/lb.
- **U.S. Cash:** Dow +0.84% to 52,203.24, S&P 500 +0.09% to 7,586.61, Nasdaq 100 -0.43% to 28,261.91, Russell 2000 +0.32% to 2,820.97 as of about 2:00 PM ET. The S&P had been +0.64% at 11:30 AM ET before tech faded. VIX +3.6% to 20.12.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.61% (Oct 29)	About -1bp	Trading near 4.60% today per Saxo. Pinned by December hike pricing.
10Y Treasury	4.98% (Oct 29)	About -5bp	Trading 4.93% to 4.94% intraday. Lower oil easing the inflation premium.
30Y Treasury	5.32% (Oct 29)	About -3bp	Near 5.29% intraday. Down 27bp over the past month.
2s10s	38bp (Oct 30)	+7bp on week	Steepened 7bp over the past week.

Levels are the latest FRED closes; moves are versus those closes using today's intraday quotes. The front end is not moving with oil: the 2Y is near 4.60% because the market still expects the Fed to hike in December after September's increase and two hawkish dissents in October. The 10Y has done the work, down about 5bp toward 4.93%, with 10Y breakevens at 2.34% and 10Y real yields at 2.63%. The Treasury updates quarterly financing estimates today ahead of Wednesday's refunding announcement, a supply check on the long end.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	Hike favored, 85% after Oct 28 per CME FedWatch	Oct 28 hold was 10 to 2, Cook and Hammack dissenting for a hike. Warsh did not commit to December.

Credit: IG OAS 94bp (+5bp Friday, +10bp on the month) and HY OAS 344bp (+18bp Friday, +32bp on the month) as of the Oct 30 close. The July read that credit was ignoring volatility no longer holds: spreads are now widening with the AI capex selloff.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$104.77/bbl	Down 7%+	Diplomacy hopes after Qatar-mediated talks; ended October at a six month high
WTI Crude	$96.27/bbl	-7.54%	Broke below $100 on the Doha talk headlines
Gold	$3,964/oz	+1.67%	Lower oil trims Fed hike risk; softer dollar
Copper	$6.554/lb	+1.48%	Firm with cyclicals and a strong ISM print
Nat Gas	$2.866/MMBtu	-1.10%	Still +10.15% over the past week

A clean oil-down rotation: consumer, materials, financials, staples and industrials lead, while energy and technology lag. Tech is fighting its own battle, with AI capex funding and dealmaking (Oracle's $20 billion raise, Marvell's $115 billion enterprise value deal for Lumentum) weighing on the group after Friday's semiconductor rout.

Sector / Name	Chg	Read
Cons. Discretionary (XLY)	+2.63%	Lower fuel costs; Amazon up more than 4% on cloud growth
Financials (XLF)	+1.87%	Cyclical rotation, steeper curve
Energy (XLE)	-3.38%	Crude down more than 7%; Exxon about -2.2%
Technology (XLK)	-1.79%	Extends Friday's AI capex selloff; -5.38% over the past week
Oracle / Marvell / Lumentum	-6.4% / -9.5% / -15.2%	Oracle equity and bond raise; Marvell to acquire Lumentum
IDEXX / United Airlines	+20.8% / +7.4%	IDEXX beat and raised 2026 guide; airlines on lower jet fuel

EQUITY SETUP

The headline indices understate the move underneath. The Dow is up 0.84% and the cyclical sectors are up 1.5% to 2.6%, but the S&P 500 is flat because technology, still the largest weight, is down 1.79% after a 5.38% drop over the past week. Friday's selloff was the worst session since June and the Nasdaq lost 5.3% in October, so this is not a market that is buying the dip in AI names on a macro relief day. Oracle funding its AI buildout with $10 billion in new stock and $10 billion in bonds is the kind of headline that keeps pressure on the group: the spending is still coming, but it is now being financed rather than paid from cash flow.

Apple reports after the close with revenue expected near $113 billion, up nearly 11%, and Palantir reports as well. Apple is the first megacap print since Amazon and Alphabet disappointed last week, and a clean number is what a tech complex down 5.3% in October needs. Beyond earnings, the calendar is heavy: midterms Tuesday, ISM services and the refunding Wednesday, payrolls Friday. VIX at 20.12 and MOVE above 100 say the market is paying up for protection into all of it.

ONE THEME

Credit is finally paying attention. Through the summer, IG and HY spreads sat near 80bp and 277bp while oil, rates and equities whipsawed. That divergence is closing. HY OAS is 344bp, +32bp in a month and +18bp on Friday alone; IG is 94bp, +10bp on the month. The driver is not oil, which is falling, but the financing of AI infrastructure: Oracle's $20 billion raise today and Friday's semiconductor rout are pushing the cost of the AI buildout onto balance sheets and into the bond market. A 10Y at about 4.93% with a hike still priced for December leaves little room for spreads to absorb that supply. If oil keeps falling and spreads keep widening, the market is telling you the next risk is in tech credit, not in crude.

EVENTS TO WATCH

- **Today, after the close:** Apple fiscal Q4 (revenue expected near $113 billion, net profit near $29 billion per Reuters estimates) and Palantir. Fed's Goolsbee on today's Fedspeak slate.
- **Tue Nov 3:** U.S. midterm elections: Polymarket puts a Democratic sweep at 70%. JOLTS (Sep) and factory orders (Sep). RBA decision, about 79% priced for a 25bp hike to 4.85%.
- **Wed Nov 4:** Treasury quarterly refunding announcement, ADP (Oct), ISM services (Oct, consensus 54.7 vs 54.9 prior), trade balance (Sep).
- **Thu Nov 5:** BoE expected to open a tightening cycle with a 25bp hike; Challenger job cuts (Oct).
- **Fri Nov 6:** October payrolls: consensus 55k vs 29k prior, unemployment 4.2%, average hourly earnings +0.3% m/m and 2.9% y/y. UoM sentiment (Nov prelim).
- **Key risks:** Iran talks stall after the midterms and crude retraces toward last week's levels; a weak Apple print extends the tech selloff; HY spreads push further past 344bp; a strong payrolls number locks in a December hike.